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THE HIDDEN ECONOMICS OF HOLLYWOOD

Agenda

01 Introduction

02 Data Exploration

03 ROI Analysis

04 Demand Analysis

05 Actor Consideration

06 Summary

07 Recommendations

08 Award Show!

Business Challenge

Prompt:

" Netflix would like you to complete an analysis of Movies from **2012 to 2016** , to identify the most effective strategy for allocating investment toward adding a new catalog of older movies on their streaming platform. "

Dataset:

- ★ Box Office Performance Data
- ★ 2012–2016
- ★ Fields: Movie titles, release year, director, leading actor(s), budget, revenue

Analysis Questions:

- ★ What performance patterns emerge across release date, budget levels, and genres?
- ★ How do popularity and cost efficiency compare across films?
- ★ Are performance results consistent or risky across different fields?
- ★ What evidence-based release strategies should Netflix use?

Decision Framework

$$$ Metrics Explained:

- ★ **Budget**
  Production investment
- ★ **Revenue (Gross)**
  Total earnings
- ★ **Profit**
  Revenue - Budget
- ★ **ROI (Return on Investment)**
  (Revenue - Budget) / Budget

Why this matters for Netflix:

ROI can be used as a proxy for audience demand vs cost efficiency, which helps Netflix decide what content is worth licensing.

- ★ Budget → scale & risk signal
- ★ Revenue/Profit → demand & success signal
- ★ ROI → cost-efficiency & value signal

Cost Efficiency vs Audience Demand

- ★ Depending on priorities, cost-efficiency vs popularity will change acquisition strategy

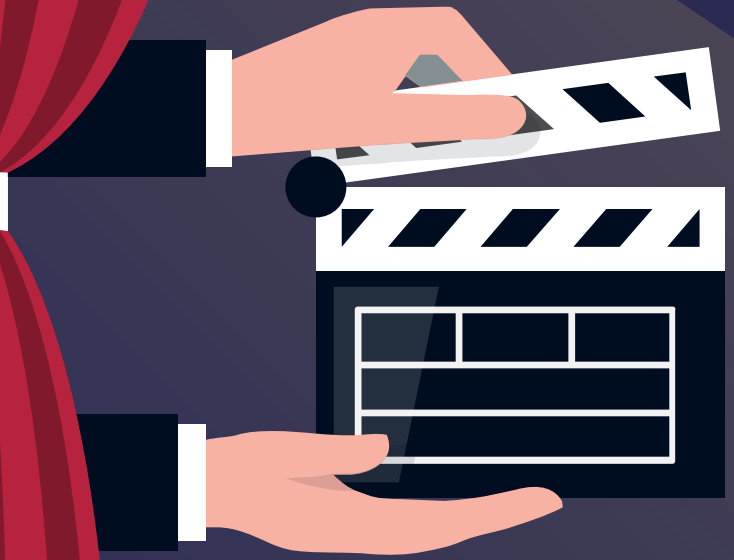
OUR APPROACH

01

An exploratory, well-rounded analysis balancing efficiency, popularity, and risk.

02

Acquisition strategy balancing audience demand with high-value performance and consistent outcomes.

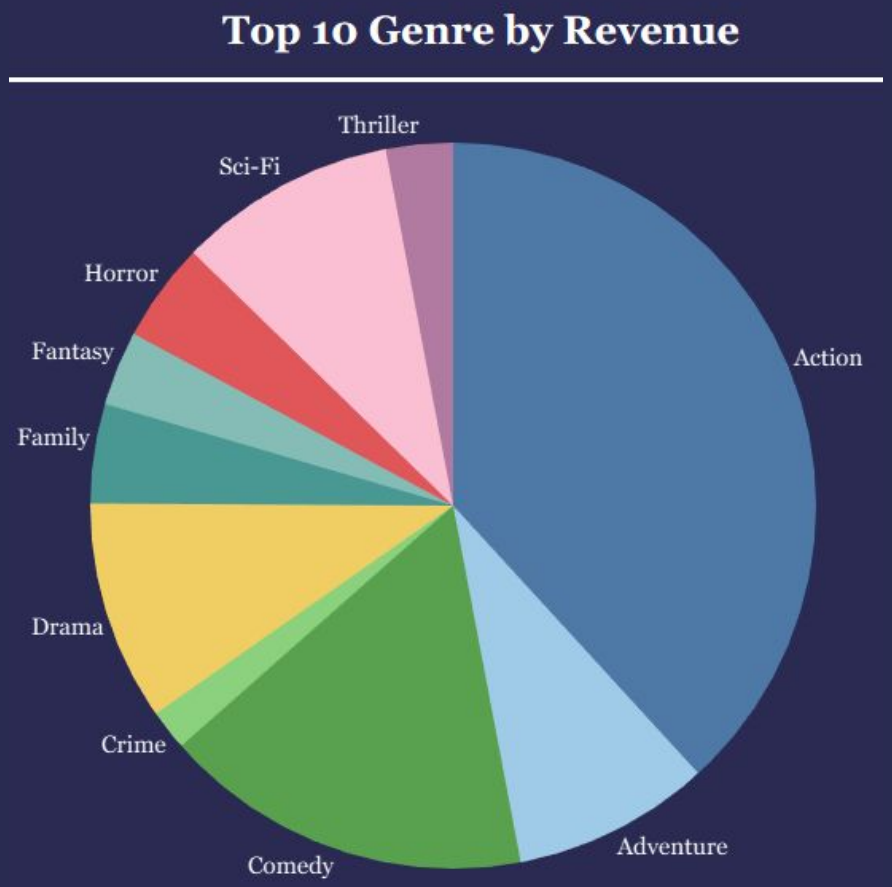


01

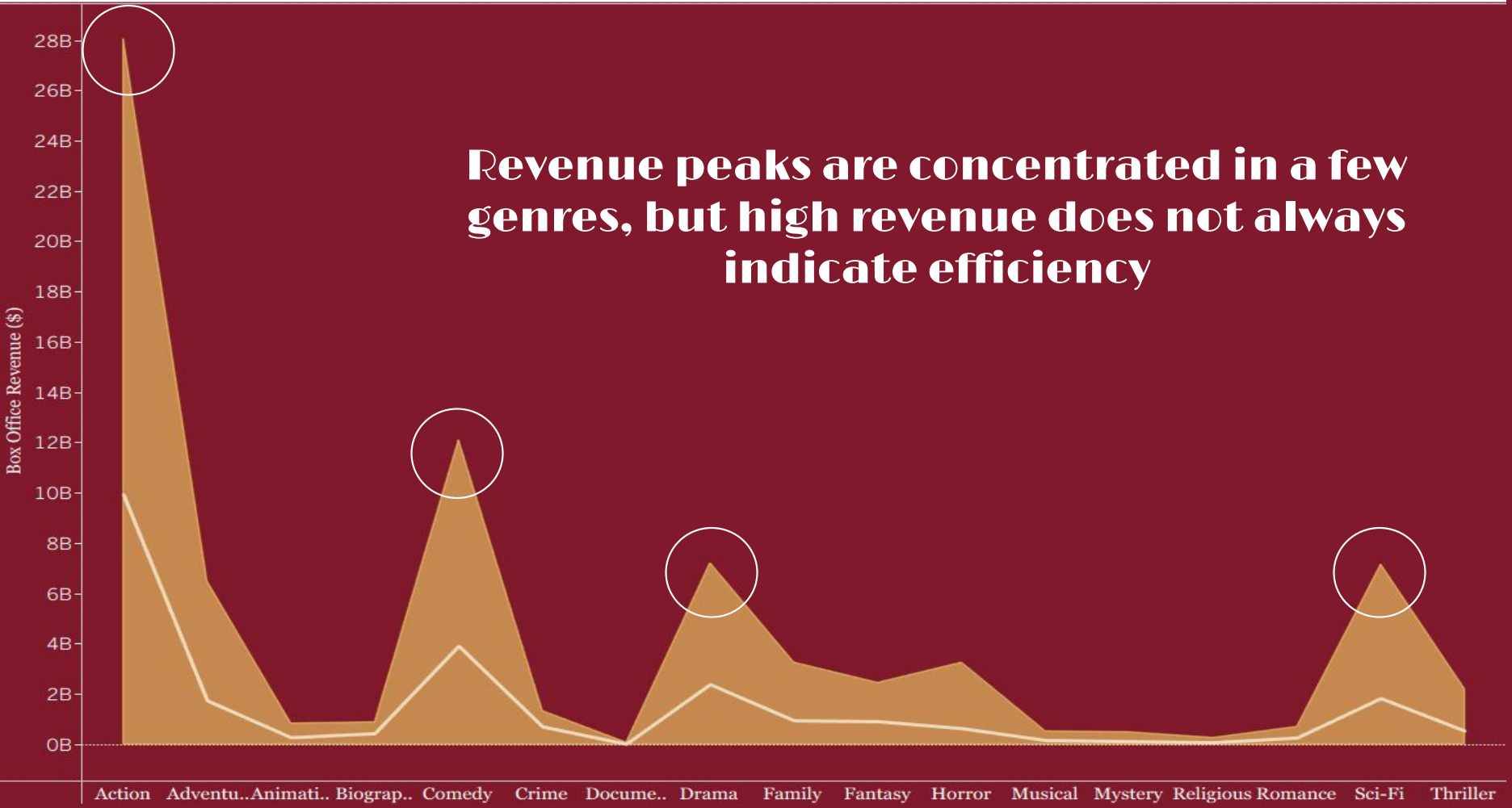
Baseline Data Exploration

This dataset includes movie performance data from 2012-2016 across multiple genres.

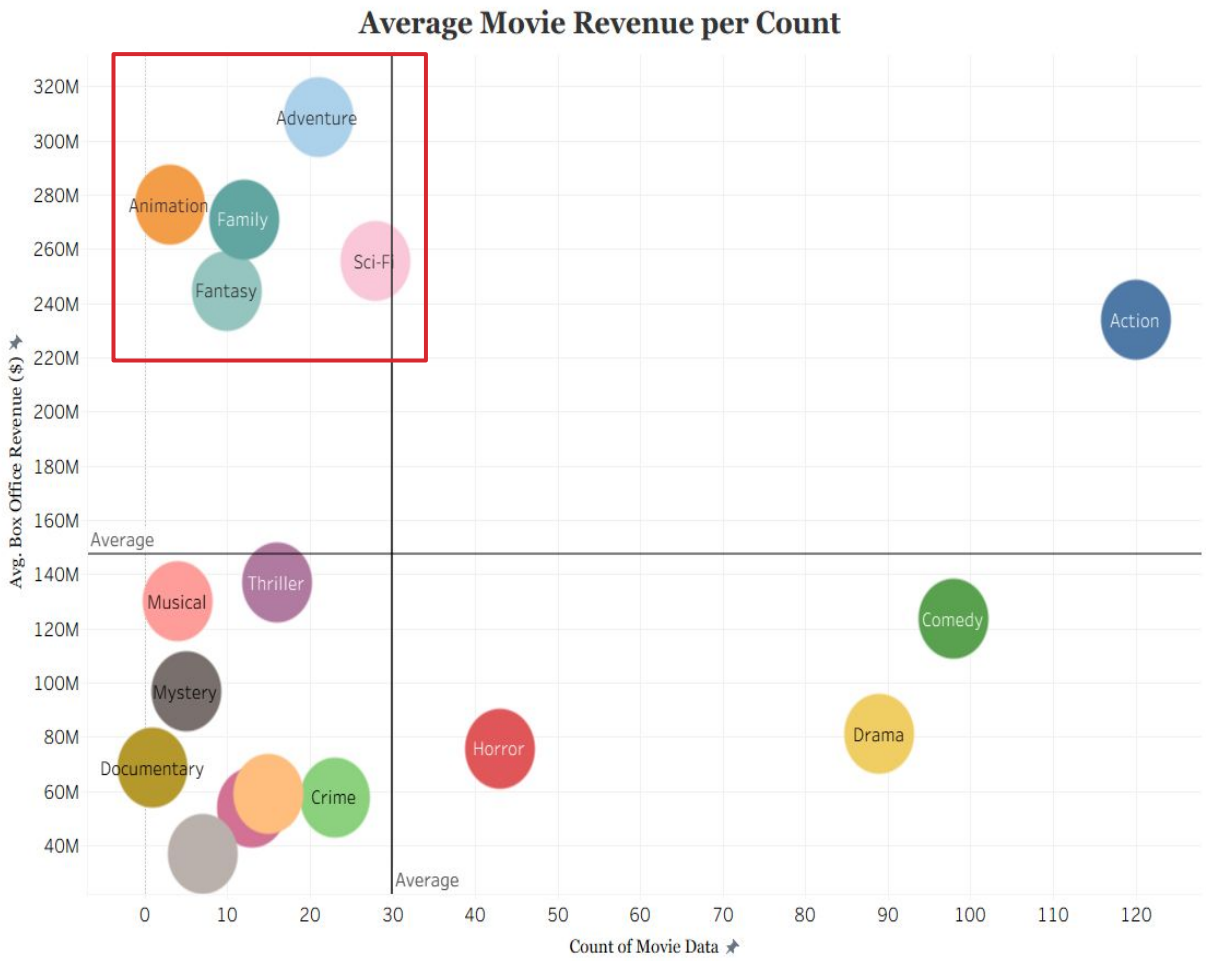
- ★ Uses box office revenue as primary performance metric
- ★ Captures both high-earning and low-earning films
- ★ Groups movies by genre for comparison
- ★ Does not consider other factors accounting for changes in data



Revenue vs Budget



Revenue peaks are concentrated in a few genres, but high revenue does not always indicate efficiency

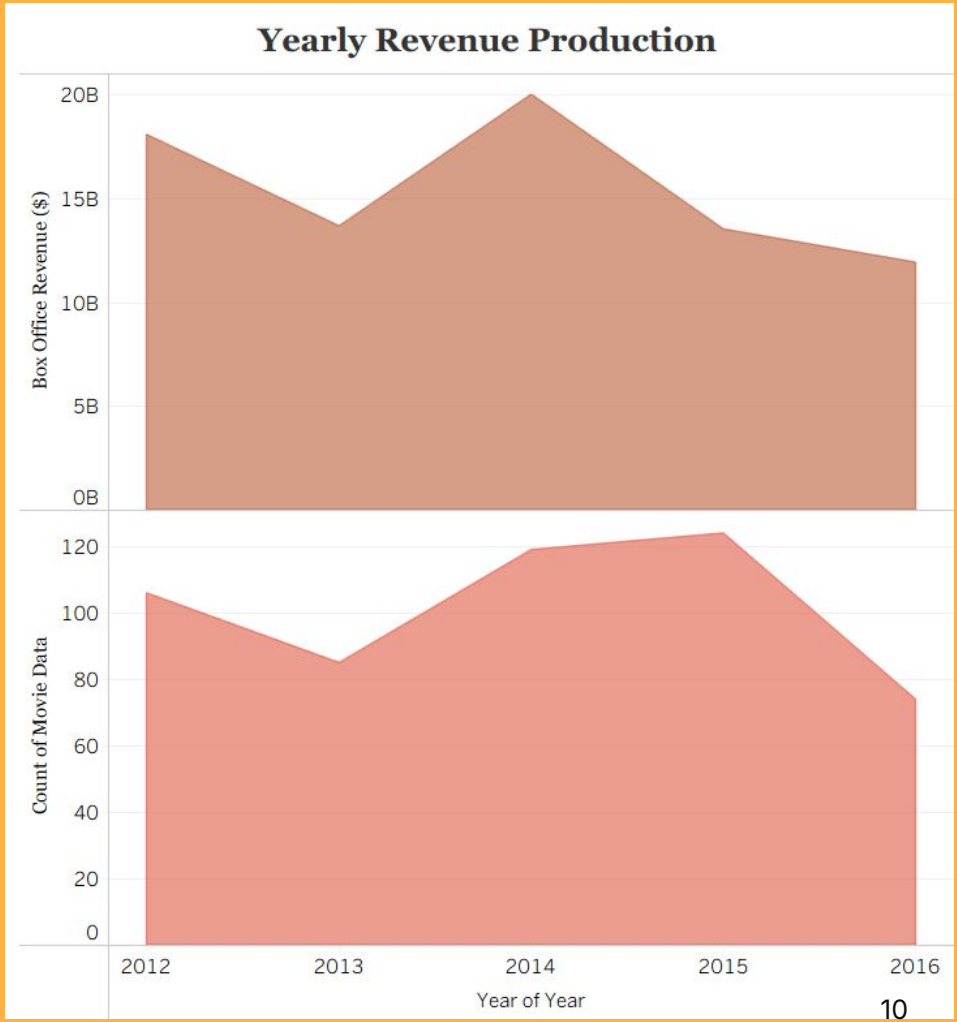


High efficiency and High volume genre groups

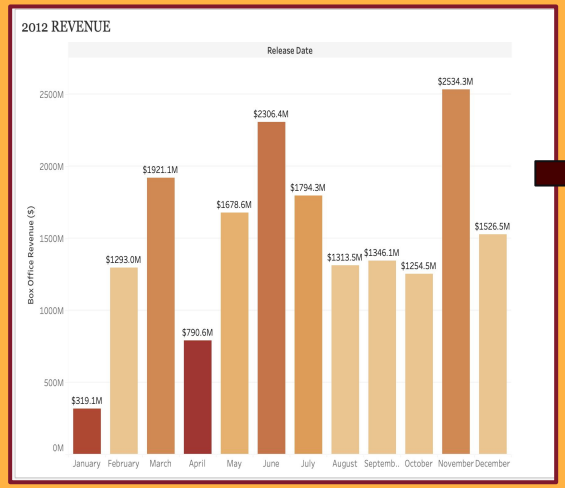
- ★ High performing genres average 250M–320M revenue PER film
- ★ Low performing genres fall below the 150M average
- ★ Action generates 230M revenue but contains the highest film count (120+)
- ★ High efficiency genres achieve stronger return with fewer film count
  - Adventure, Animation, Family, Fantasy, Sci-Fi

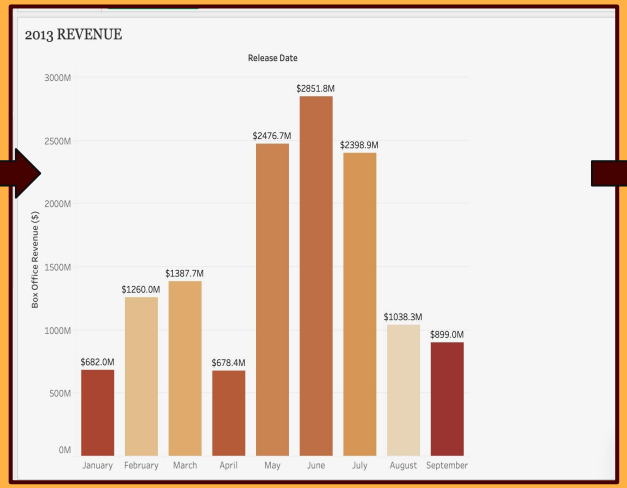
Higher film production does not guarantee higher revenue

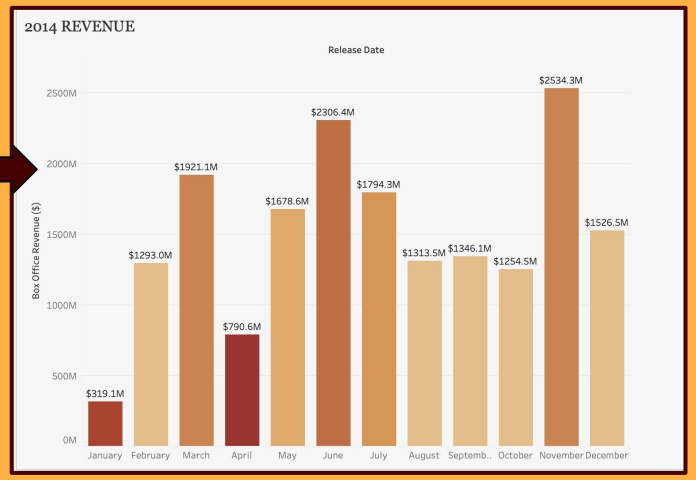
- ★ Side-by-side view of revenue and film count to compare output vs performance
- ★ Revenue peaks in 2014 despite lower film production than 2015
- ★ 2015 had 120+ film count but generates less revenue than previous years
- ★ Indication of diminishing returns with increased production

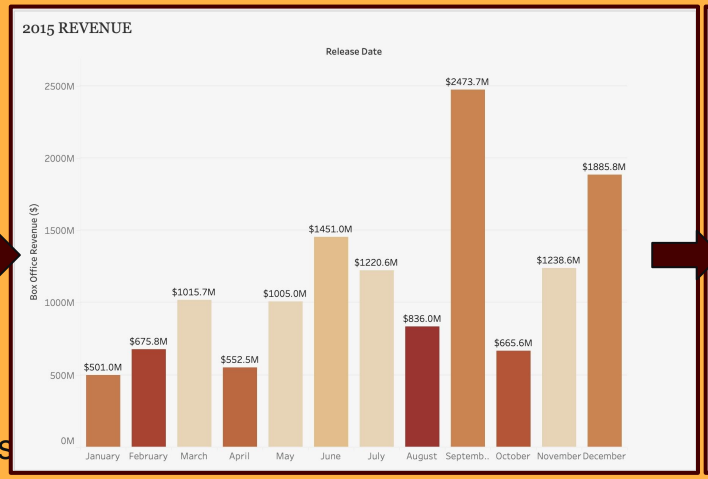


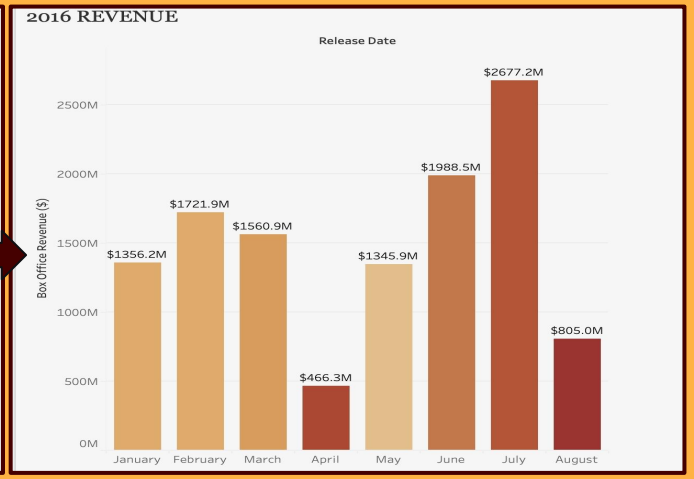
Box Office Revenue Trends: A 5 -Year Analysis











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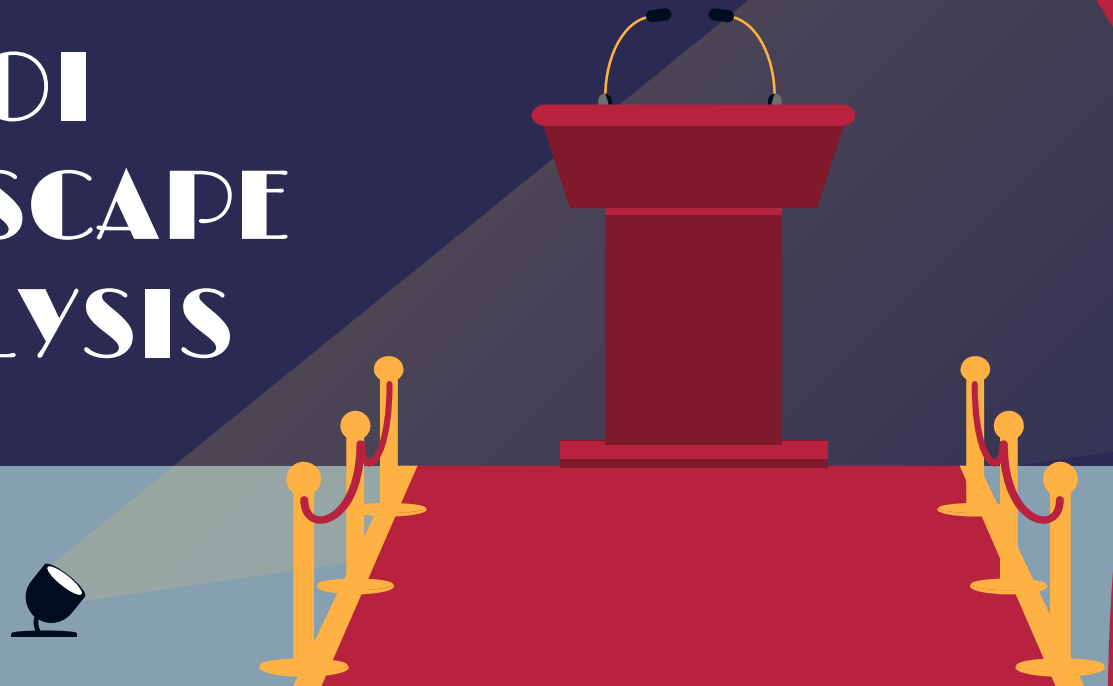
02

ROI LANDSCAPE ANALYSIS

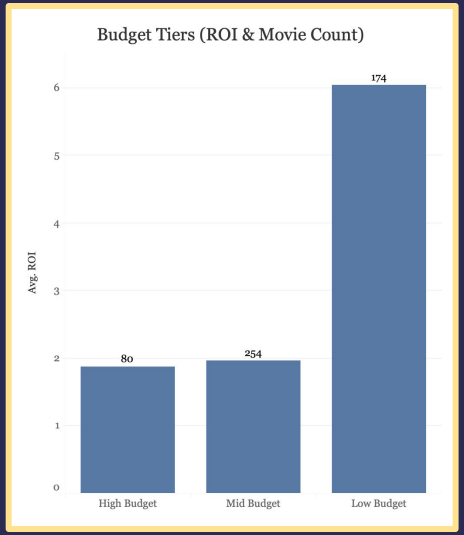


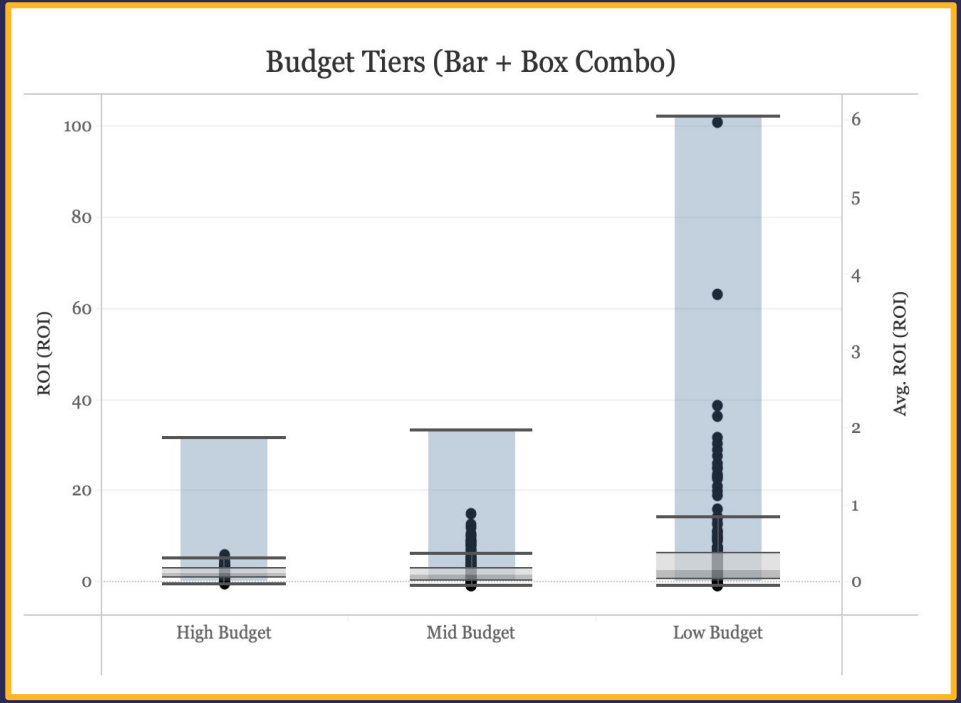
LOW BUDGETS DRIVE HIGHEST ROI (but with greater variability & risk)

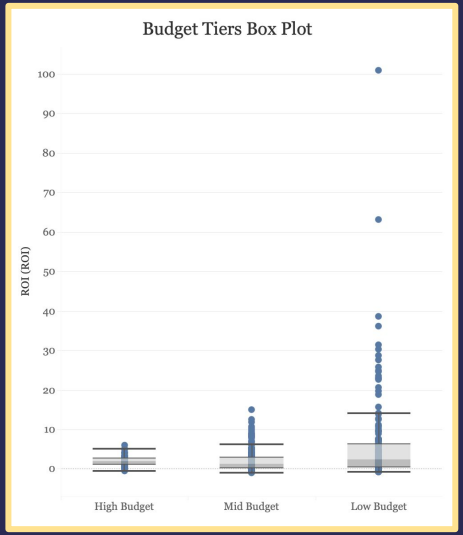
- ★ Low-budget films achieve ~6x average ROI vs ~2x for mid/high budgets (extreme upside potential)
- ★ High-budget films show lower but more stable returns
- ★ ROI increases as production cost decreases*
- ★ Cost-efficiency improves as risk tolerance increases

Budget tiers:

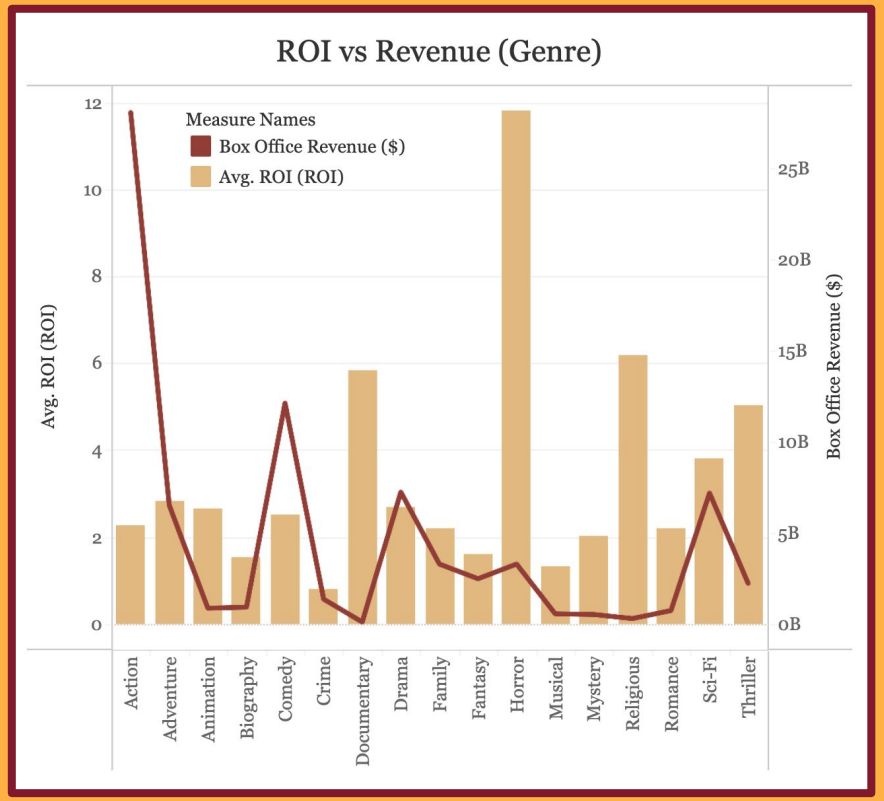
- Low: < $20M
- Medium: $20M–$100M
- High: > $100M



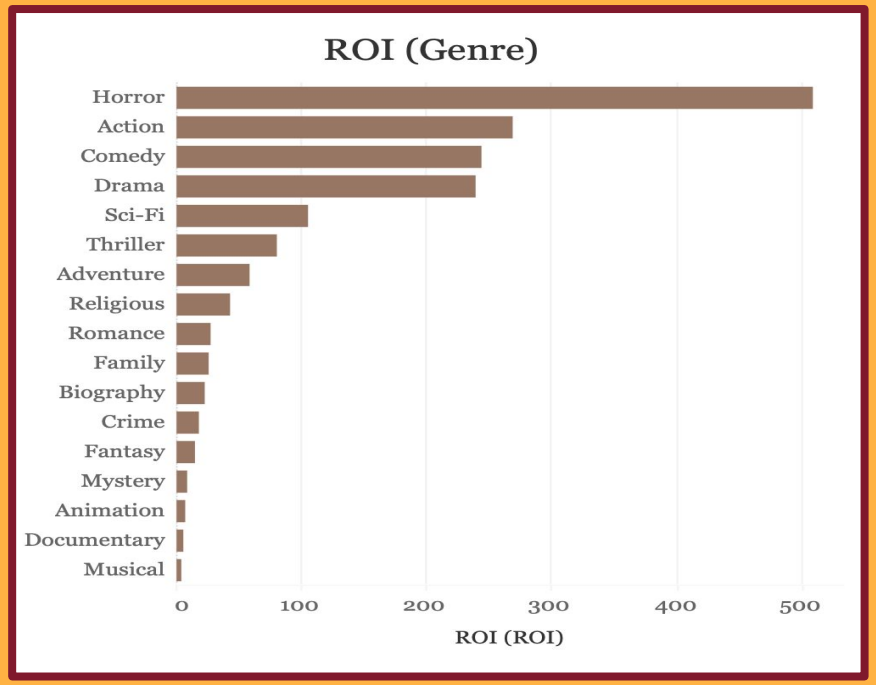


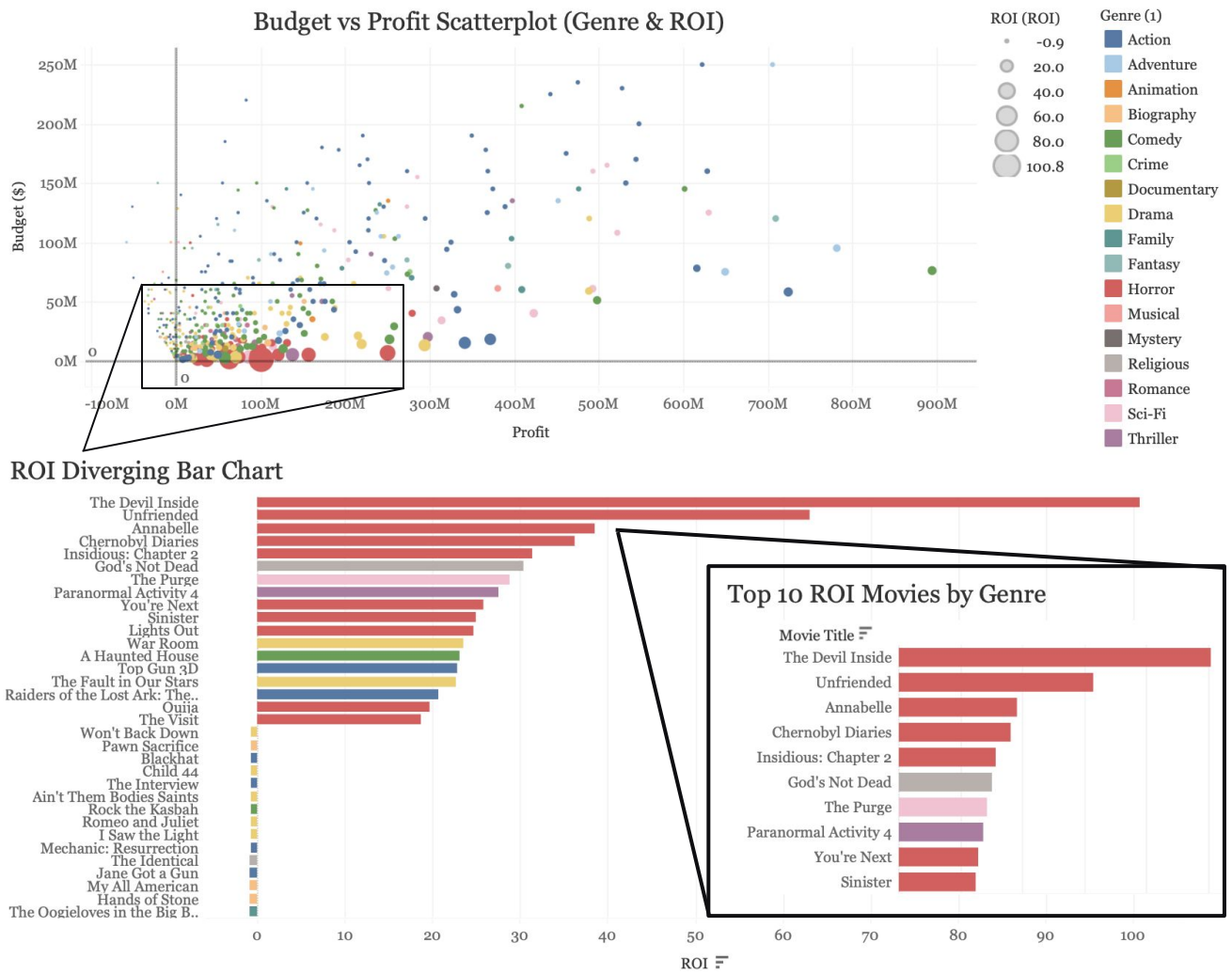


HORROR LEADS HIGHEST ROI BY GENRE



- ★ Horror leads ROI despite lower revenue, outperforming all genres by a wide margin
- ★ Action generates the highest revenue (~$25B+) but delivers only moderate ROI
- ★ **Audience demand (revenue/profit) does not translate to investment efficiency (ROI)**



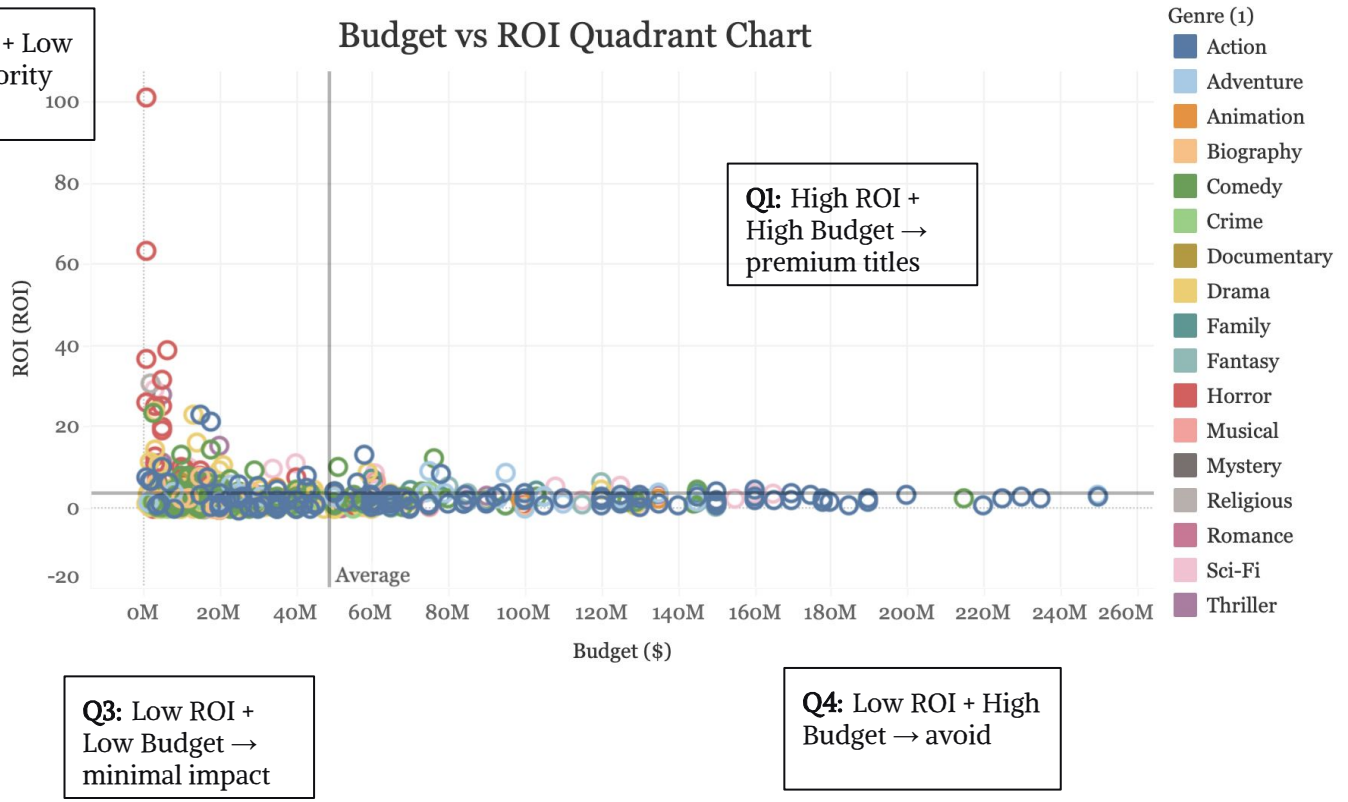


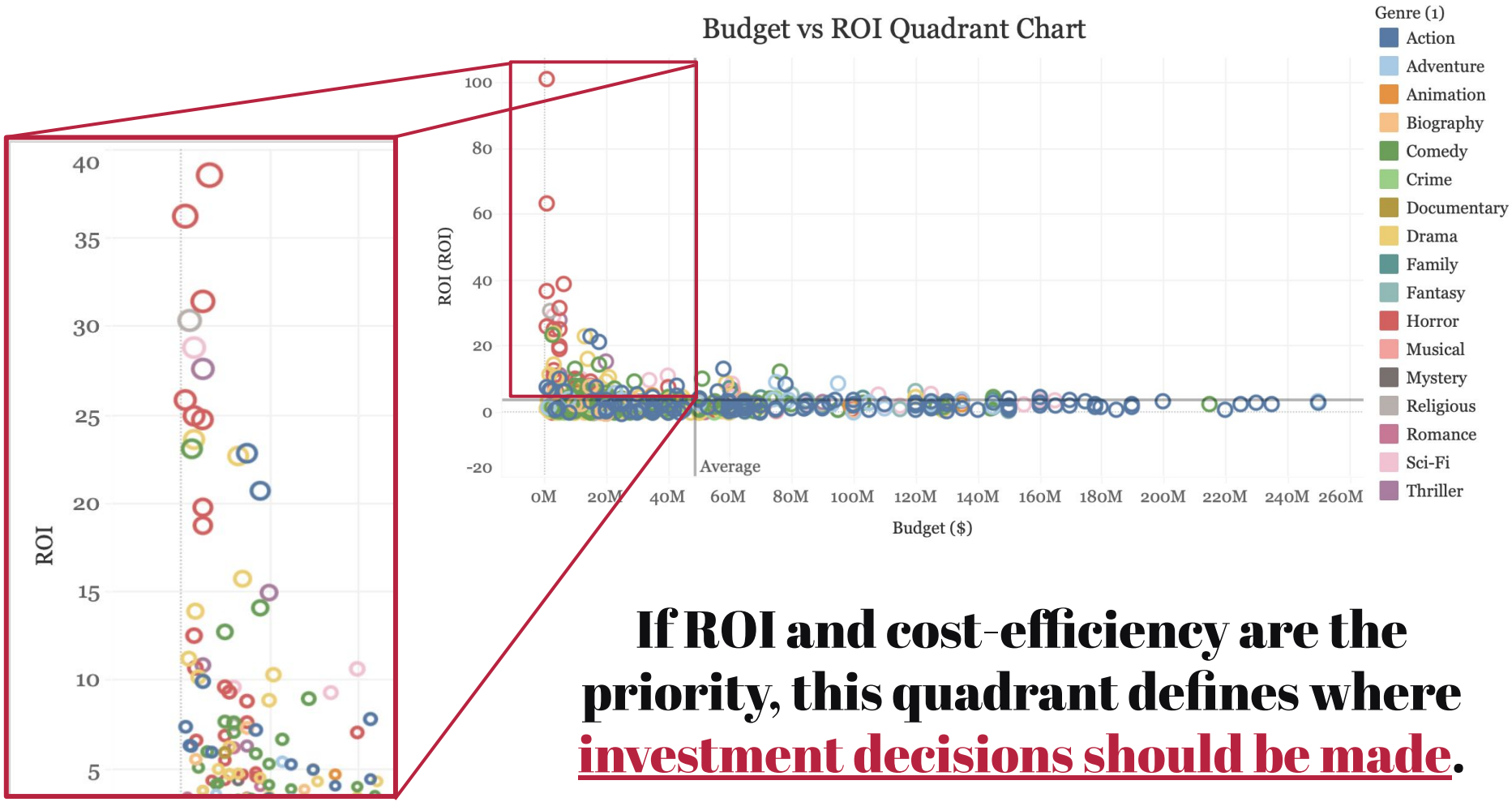
BREAKOUT SUCCESS DRIVEN BY LOW-COST, HIGH-IMPACT FILMS

- ★ Majority of high-ROI films are produced under ~$50M
- ★ Top-performing films (e.g., *The Devil Inside*, *Unfriended*) achieve 70–100x ROI
- ★ 70% of top 10 films by ROI are horror genre*
- ★ High-budget films (> $150M) generate profit but rarely deliver outsized returns

HIGHEST-VALUE INVESTMENT ZONE IS LOW-BUDGET & HIGH-ROI

- ★ High ROI (>20x) is almost exclusively concentrated below ~$40M budgets
- ★ High-budget films dominate low-ROI quadrants (capital-intensive, lower efficiency)
- ★ Only a small subset of films achieve both scale and efficiency



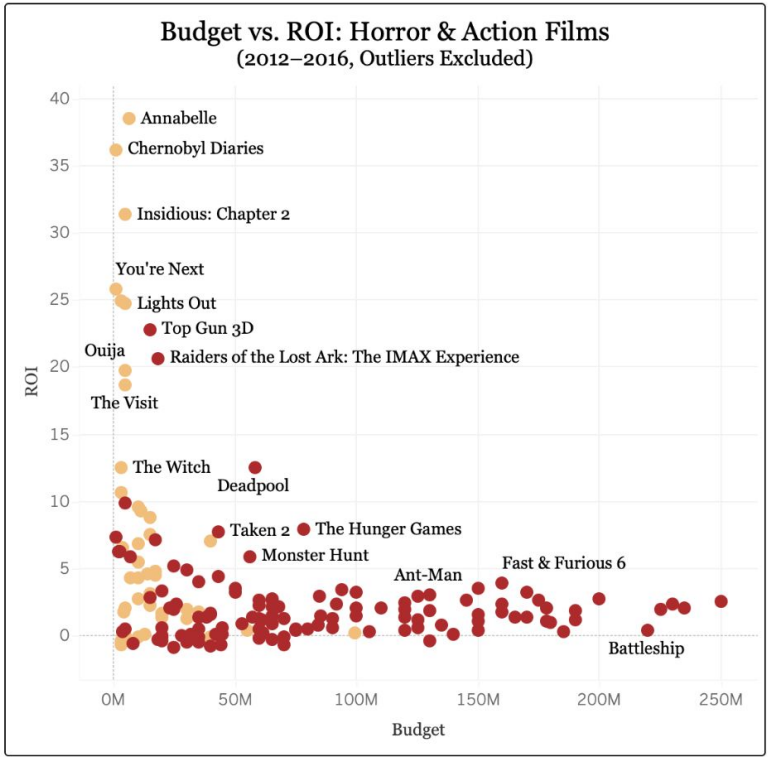


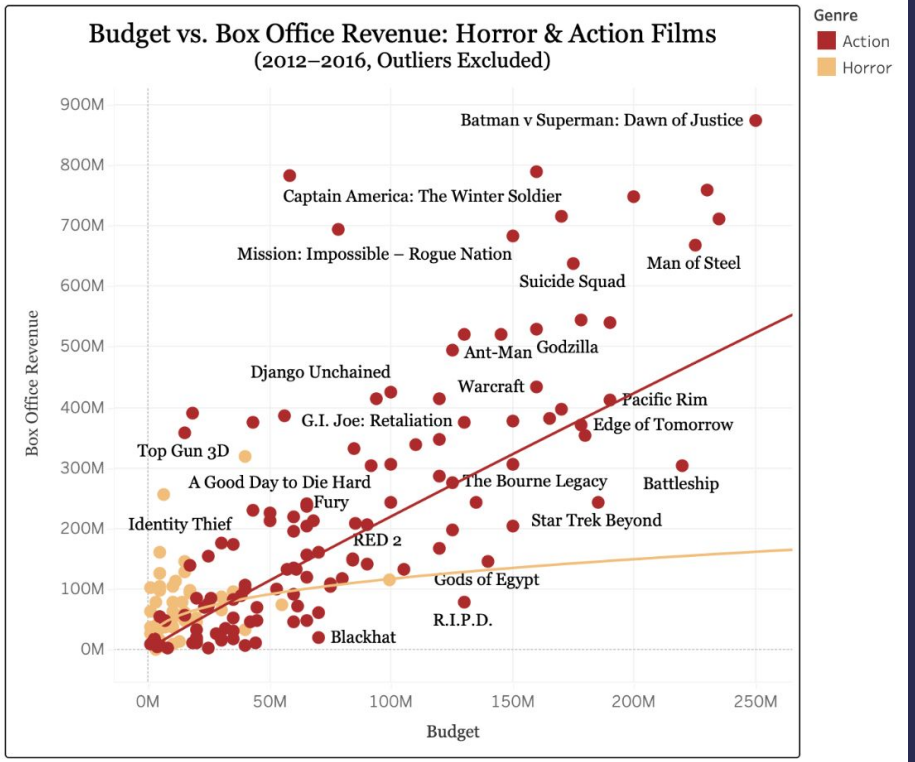
If ROI and cost-efficiency are the priority, this quadrant defines where investment decisions should be made.

03

AUDIENCE DEMAND ANALYSIS

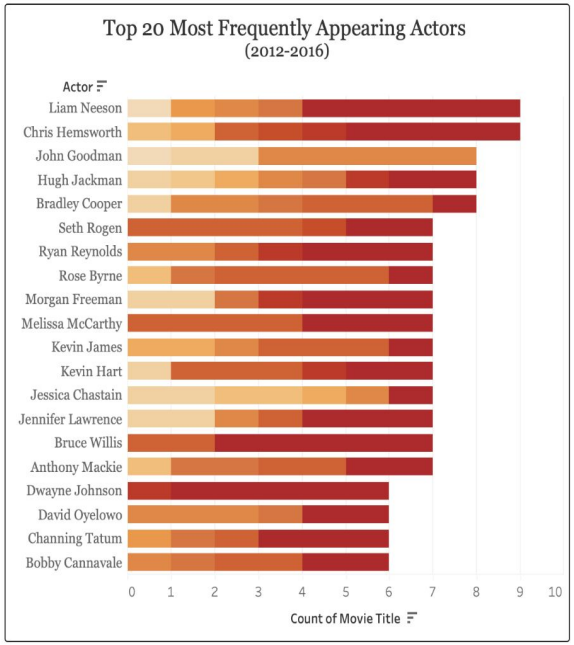
Genre Focus: Horror & Action

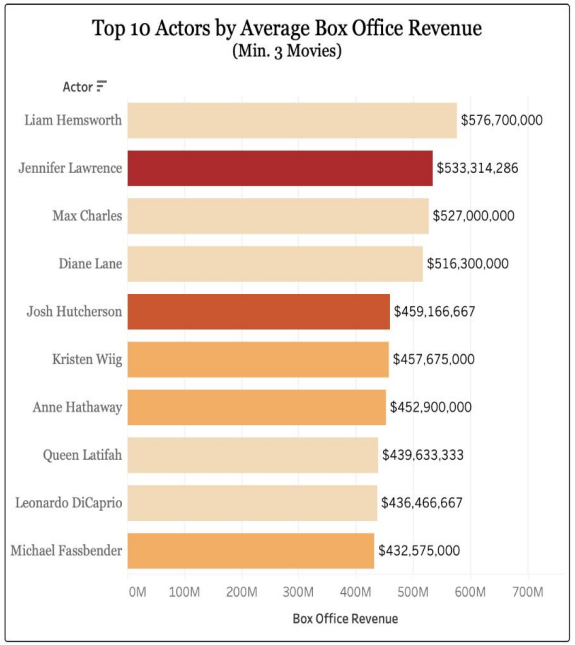




Beyond Genre: Prominent Actors of this Era

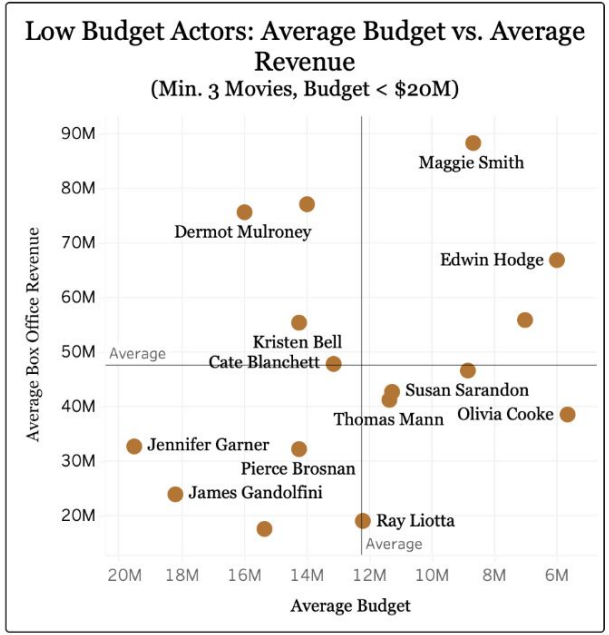
Genre tells us where to look, actors can help us decide what to pick.

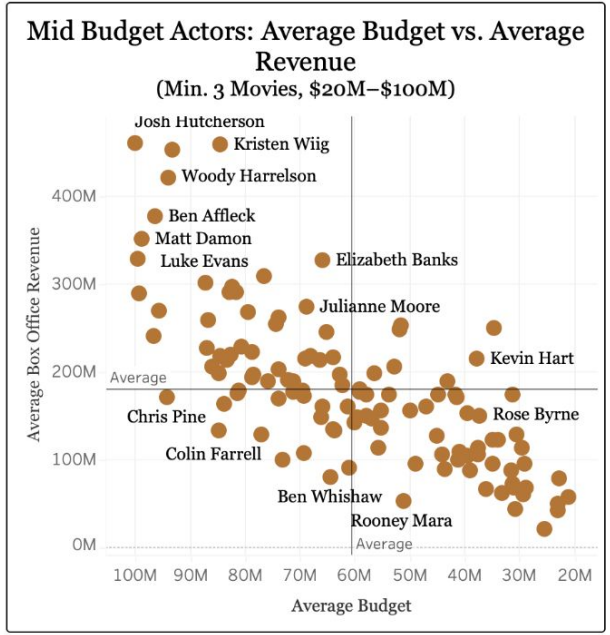


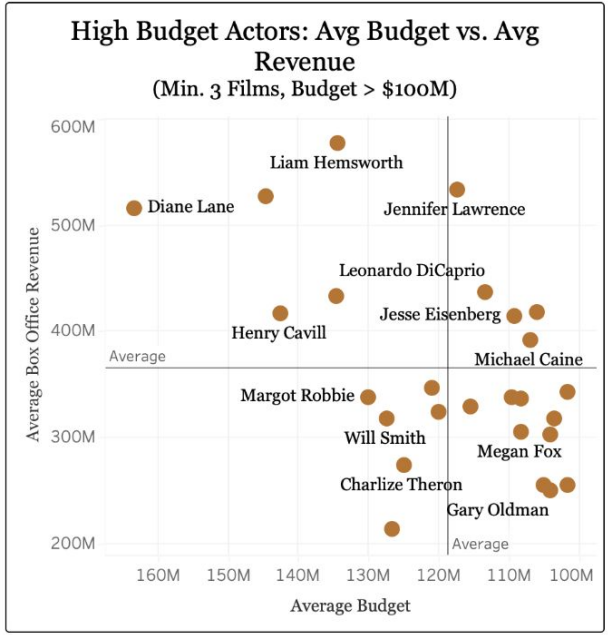


- ★ "Prominent actors" defined as those who were in at least 3 movies between 2012–2016
- ★ Start by asking who showed up most. Who were staple actors during this time?
- ★ Look into performance, whose movies performed?

Actor Performance by Budgets







04

FINDINGS & RECOMMENDATIONS

Summary of Findings

Exploratory

Increased production volume often does not yield proportional returns

Cost-Efficiency

Top-performing films 70–100x ROI in low-budget tiers

Horror leads ROI, significantly outperforming all genres

Popularity

High-budget films drive scale (Action ~$25B+) but deliver only moderate ROI

Box office success is driven by revenue scale – but value is driven by efficiency, and efficiency lives in low-budget films.

Recommendations

Dual Investment Strategy: Maximize Efficiency While Sustaining Demand

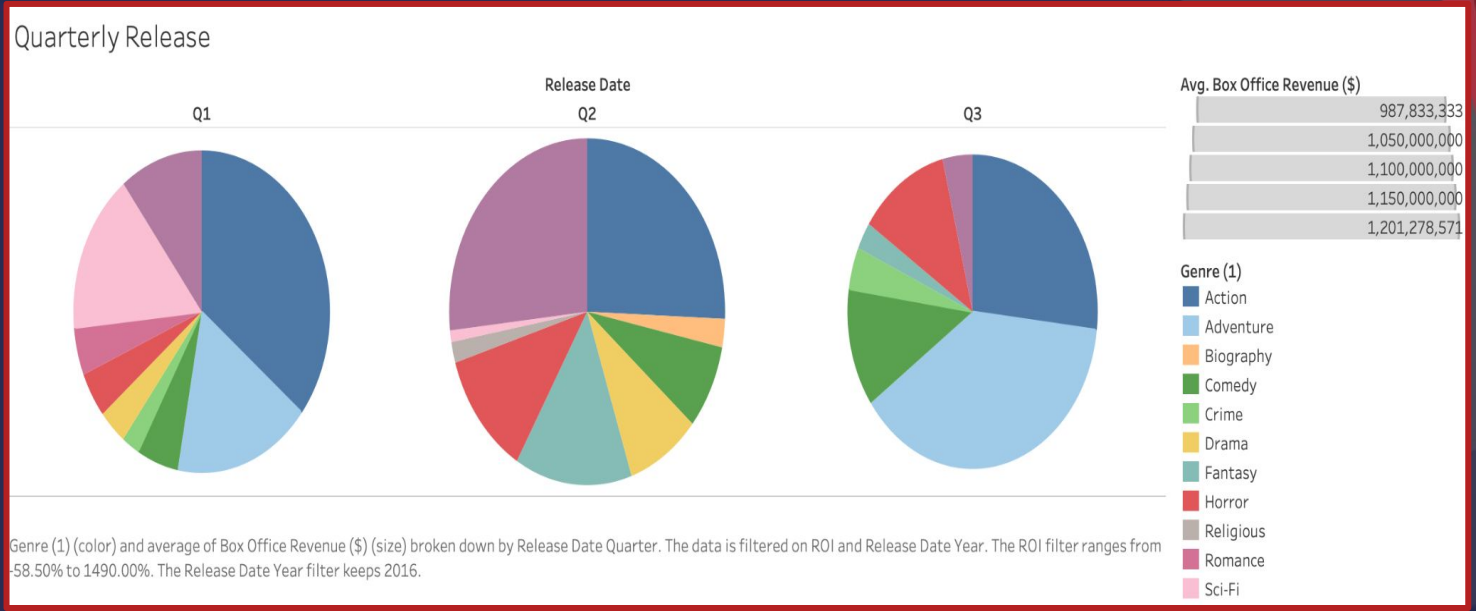
Prioritize High-ROI, Low-Cost Films

- Focus on films under ~$40M where ROI >20x is concentrated
- Target high-efficiency genres, especially Horror (70% of top ROI films)
- Leverage asymmetric upside: low cost, high return potential

Selectively Invest in High-Demand Titles

- Allocate budget to a limited number of high-budget, high-visibility films
- Prioritize proven demand drivers (Action, Adventure, franchise titles)
- Use these titles to anchor engagement and attract audiences

STRATEGIC RELEASE TIMES

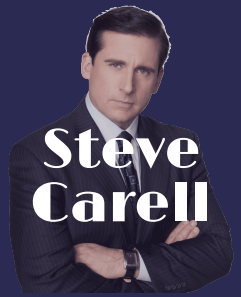


Timing influences performance for certain genres more than others and help optimize audience reach for more niche, cost-efficient titles.

Award Show

Jennifer Lawrence

Ethan Hawke



Steve Carell

Jesse Eisenberg

The End
Any Questions?